

Competition – Contractor Experience

2024-08-22

- Let n_i^{task} = Number of projects of the same task held by the contractor in the three quarters before starting project i
- Let n_i = Number of projects held by the contractor in the three quarters before starting project i
- Define:
 - Inexperienced contractor $_i$ = 1 if $n_i^{task} = 0$
 - New entrant $_i$ = 1 if $n_i = 0$
 - Level of inexperience $_i$ = $1 - \frac{n_i^{task}}{n_i}$ if $n_i > 0$
 - Level of inexperience $_i$ = 1 if $n_{i,k,t} = 0$.

1 Regression results

- For $IE + Treat \times IE + IE \times Post$ using the two discrete metrics, we get:

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	Estimate	SE	2.5 %	97.5 %	Hypothesis	z value	Pr(> z)
Task inexperienced	1.15	0.13	0.89	1.42	0.00	8.60	0.00

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	Estimate	SE	2.5 %	97.5 %	Hypothesis	z value	Pr(> z)
New entrant	1.08	0.18	0.73	1.44	0.00	5.98	0.00

Table 1: Logit model

	IE		
	Task inexperienced	New entrant	Level of inexperience
	I	II	III
	Logit	Logit	OLS
Treat	0.201*** (0.037)	0.271*** (0.047)	-0.014*** (0.004)
Treat $\times$ Post	0.055 (0.036)	0.200*** (0.043)	0.028*** (0.004)
Time FE	Yes	Yes	Yes
Task FE	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
Observations	156,327	162,648	165,567
Squared Correlation	0.30	0.21	0.30
Pseudo R ²	0.25	0.21	0.43
BIC	157,141.70	118,828.23	95,229.34

Clustered (Project ID) standard-errors in parentheses

*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*

	Percentage delay rate		
	Task inexperienced	New entrant	Level of inexperience
	I	II	III
Treat	-0.497*** (0.155)	-0.633*** (0.130)	-0.297 (0.284)
IE	1.414*** (0.184)	1.310*** (0.228)	1.264*** (0.282)
Treat $\times$ IE	-0.585*** (0.206)	-0.736*** (0.270)	-0.550* (0.323)
IE $\times$ Post	-0.095 (0.257)	0.043 (0.339)	0.327 (0.352)
Treat $\times$ Post	0.806*** (0.188)	0.917*** (0.163)	1.057*** (0.337)
Treat $\times$ IE $\times$ Post	0.418 (0.301)	0.465 (0.409)	-0.211 (0.413)
Time FE	Yes	Yes	Yes
Task FE	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
Observations	165,473	165,473	165,473
R ²	0.22	0.22	0.22
Within R ²	0.15	0.15	0.15

Clustered (Project ID) standard-errors in parentheses
*Signif. Codes: ***: 0.01, **: 0.05, *: 0.1*